

CHAPTER 6

What Affects the Market

The forces that set the price of a barrel — from wells and weather to war and the dollar.



Why oil overreacts

Demand is inelastic

People cannot quickly change how much they drive, fly or heat. When supply falls, price — not consumption — does the adjusting.

Supply is slow

New barrels take years to develop. The market cannot simply summon more oil when it is needed most.

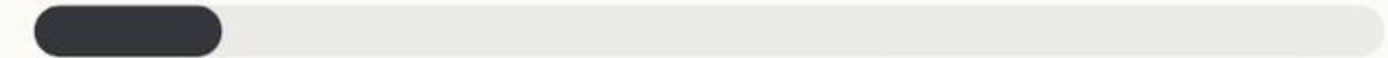
Everything is priced at the margin

The last barrel sets the price for all of them. A small shortfall at the edge swings the entire market.

APRIL 2026 · THE AMPLIFIER

Supply offline

≈10%



10.5M b/d shut behind Hormuz

Brent price reaction

+126%



\$61 → \$138 intraday peak

Where the barrels come from

OPEC+ versus the rest

OPEC and allies pump ~half of the world's oil and act with intent; the other half comes from independents responding mainly to price.

Decline is constant

Every field depletes. The world must add millions of new barrels each year just to stand still — drilling activity is a key price signal.

The US swing

American output set a record near 13.6M b/d in 2025, led by the Permian Basin — alone close to half of US production.

Disruption risk

Sanctions, outages and conflict remove supply without warning. In April 2026, Gulf producers shut in ~10.5M b/d.

Who burns the oil

WHERE A BARREL GOES — BY USE



Tied to growth

Oil demand tracks the global economy — when GDP expands, factories, trucks and planes consume more; in a downturn it softens fast.

Transport dominates

Roughly half of all oil is burned as road fuel; aviation, shipping and petrochemicals account for most of the rest.

The center of gravity has shifted

Growth now comes overwhelmingly from Asia — led by China and India — while mature OECD economies are flat to declining.

Inelastic in the short run

People cannot quickly change how much they drive or fly, so price rather than volume does most of the adjusting.

The market's gauge

The balance made visible

Stocks rise when supply exceeds demand and fall when it lags — the clearest real-time read on whether the market is tight or loose.

The weekly ritual

US inventory data is among the most-watched releases in commodities; a surprise build or draw can move price within seconds.

Days of cover

Traders watch stocks relative to demand, not the raw number — low days of cover signal vulnerability to any disruption.

≈398M

barrels — US Strategic Petroleum Reserve, early 2026

Government emergency stockpiles can be released to blunt a supply shock.

The shock absorber

The cushion

Spare capacity is oil that can be brought online quickly but is deliberately held back — the market's insurance against sudden losses.

The fear premium

A market with little spare capacity prices a standing risk premium — there is no buffer left for the next outage.

Concentrated in a few hands

Almost all usable spare capacity sits with Saudi Arabia and the UAE. Ample spare keeps prices calm; thin spare makes every disruption bite.

2026 in focus

With Gulf output stranded behind a closed strait, even Saudi Arabia struggled to deliver spare barrels — and prices reflected the missing cushion.

GEOPOLITICS & THE CHOKEPOINTS

~20%

of the world's oil & LNG passes through the Strait of Hormuz

When transit halted in 2026, Brent spiked toward **\$138** a barrel — a textbook case of geopolitics overwhelming fundamentals.

Oil is political

More than any other commodity, crude is shaped by war, sanctions and diplomacy — and a large share of reserves sits in volatile regions.

The chokepoints

A few narrow waterways carry most seaborne oil; the Strait of Hormuz alone normally handles about a fifth of it.

The risk premium

Markets price the probability of disruption, not just the disruption — tension near a chokepoint lifts prices before a barrel is lost.

Money and growth



Priced in dollars

Crude is quoted and settled in USD. A stronger dollar makes oil costlier for the rest of the world, weighing on demand and price.



The growth signal

Because demand tracks activity, traders treat the barrel as a barometer of the economy — recession fears alone can sink price.



Interest rates

Higher rates raise the cost of holding inventory and financing production — and cool the very economy that consumes the oil.



Inflation feedback

Oil feeds transport and production costs, so its price loops back into the inflation and rate decisions that move it.

Paper money moves price

Bigger than the physical market

Financial trading dwarfs real barrels — the positions of funds and banks can move price independently of fundamentals.

Momentum & algorithms

A growing share of volume is rule-driven, amplifying trends and accelerating both rallies and sell-offs.

Managed money

Hedge funds and speculators take large directional bets; when positioning grows crowded, the unwind can be as violent as the move.

Sentiment is real

Expectations about future supply and demand are priced today — the market often moves on the story before fundamentals confirm it.

The calendar's rhythm

The driving season

Gasoline demand rises through the northern-hemisphere summer, while winter lifts demand for heating fuels.

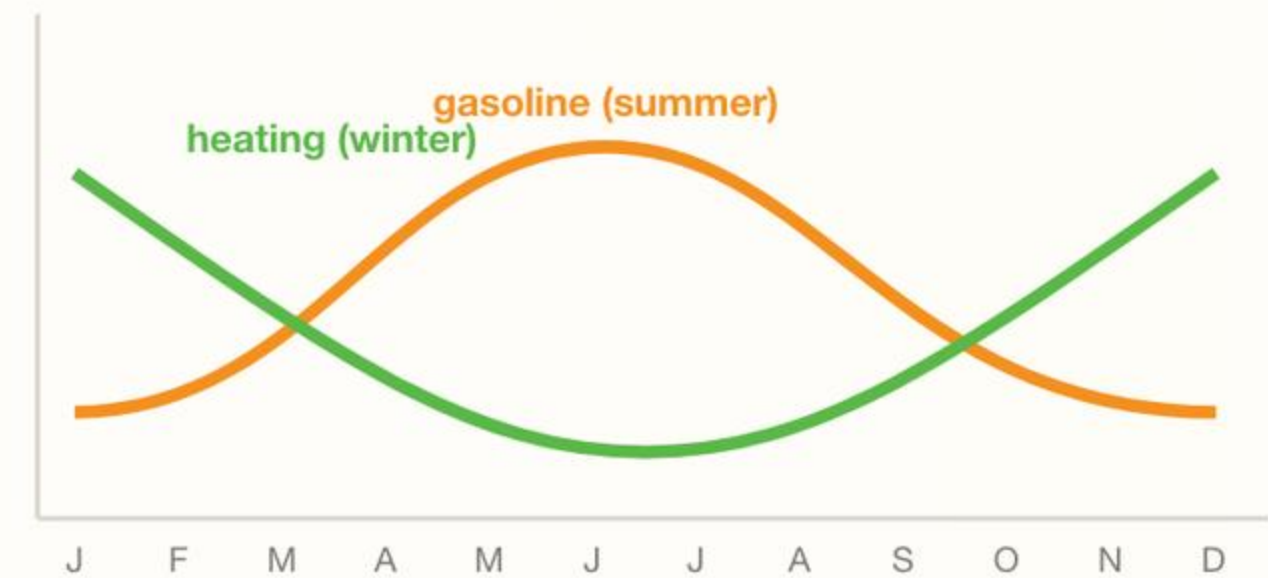
Refinery turnarounds

Plants shut for maintenance in spring and autumn, tightening product supply and widening crude-to-fuel spreads.

Storms & cold snaps

Hurricanes can shut Gulf production within days; a deep freeze spikes heating demand and disrupts output at once.

SEASONAL DEMAND



The energy transition

The structural force

Electrification and efficiency are slowly bending the demand curve — the IEA expects oil-demand growth well below its historical trend.

Policy & capital

Climate rules and shifting investment shape how much new supply is built — affecting price years before any barrel is produced.

Electric vehicles

As EVs displace gasoline cars, the single largest source of oil demand begins to erode — first in advanced economies, then wider.

Uneven & uncertain

The transition is real but gradual — for now the world still burns 100M+ barrels a day, and oil remains central to the economy.

CONCLUSION — PRICE IS THE SUM OF FORCES

Every barrel's price encodes a global argument about scarcity and risk.

No single driver

Supply, demand, inventories, geopolitics, the dollar and sentiment all push at once — price is their net result.

The market is a razor

Because demand is inelastic, small imbalances produce outsized moves — oil is among the most volatile commodities.

Read the balance

Don't chase headlines — ask whether each force is tightening or loosening the underlying balance.